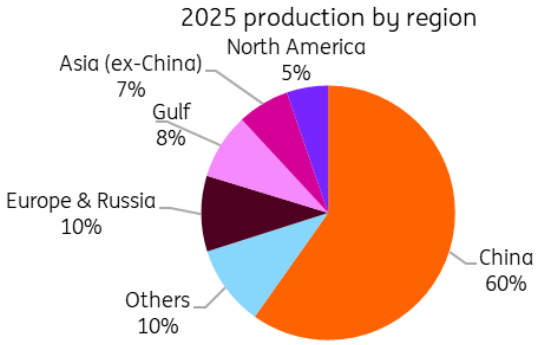
Aluminium supply risk returns amid Middle East tensions

LME aluminium prices jumped 3.5% this morning, a one-month high, with rising Middle East tensions reintroducing supply risks into the market

Global aluminium capacity is heavily reliant on the Strait of Hormuz for both metal exports and alumina imports

Aluminium supply risks rising



Source: IAI, ING Research

Escalation in the conflict between the US/Israel and Iran primarily increases upside risks to physical aluminium premiums, rather than materially tightening global supply. The Middle East accounts for around 8% of global aluminium capacity and is heavily reliant on the Strait of Hormuz for both metal exports and alumina imports, with key producers including Saudi Arabia, the UAE and Bahrain.

The scale of any supply disruption will depend on how long tensions persist, given smelters typically hold around three to four weeks of alumina inventories, meaning short disruptions are manageable – but prolonged disruption would quickly translate into production risk.

Even without a full closure of the Strait, higher freight costs, war risk insurance and vessel delays would likely be reflected first in regional premiums. Europe and the US are most exposed, given their reliance on Middle Eastern metal as marginal supply. European premiums look particularly sensitive, given already tight primary availability and elevated duty paid and duty unpaid premiums. US Midwest premiums are structurally high due to tariffs, limiting near term upside but leaving marginal pricing exposed to Gulf-related disruptions.

For LME prices, the impact is likely to remain headline driven, with sustained upside requiring evidence of prolonged disruption. Overall, risks remain skewed toward higher regional premiums, particularly in Europe, rather than a material repricing of global aluminium supply, even if LME prices face offsetting macro headwinds.

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Author

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

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